# Press Release

## [Insert company name] acquires SHOGI to bring authority infrastructure to agentic AI and autonomous systems

### SHOGI's cryptographic proof of authority controls protected agent actions execute, combining post-quantum identity-based encryption, quorum approval, and deterministic execution.

**Palo Alto, December 1st, 2027** — [Insert company name] today agreed to acquire SHOGI Systems, Inc., developer of SHOGI, a cryptographic **authorization** layer for AI agents, connected devices, and autonomous systems in mission-critical environments. SHOGI establishes proof of authority before execution, helping organizations control these systems permitted actions.

Within SHOGI's protected execution boundary, releasing a payment, changing a supplier's bank account, or pushing a software release requires valid cryptographic proof of authority and independent agent-quorum approval for that exact action, plus human approval for higher-risk actions. Verified authority is a prerequisite for execution—not an instruction the agent must follow.

AI agents are moving from answers to actions. Gartner forecasts agentic AI in 33% of enterprise software applications by 2028, up from under 1% in 2024, with at least 15% of daily work decisions made autonomously. It also predicts over 40% of agentic AI projects will be canceled by the end of 2027, partly for inadequate risk controls. Today's controls mostly watch and log, flagging fraudulent wires or bad releases after money leaves or builds reach production. Tricked, misconfigured, or compromised agents can act across systems at machine speed and edit records to hide their actions.

SHOGI controls actions before execution. Each agent's identity defines its job; its key works only for that job. A quorum of agents checks specific evidence before approving each action, and above-threshold actions also require a human quorum. Approval is single-use and bound to the exact action: it cannot be reused or swapped. If any check fails, the action does not run.

Every SHOGI deployment begins with mission-assurance analysis using System-Theoretic Process Analysis for Security (STPA-Sec), developed by SHOGI advisor and STPA-Sec Integration Lead Dr. William "Dollar" Young as the security extension of MIT Professor Nancy Leveson's STPA methodology. It identifies unsafe workflow actions and conditions, translating unacceptable customer losses into rules before launch. These become Ordered Identities (patent pending): each agent's role, mission, authority tier, jurisdiction, allowed actions, and time window in a fixed order that also serves as its key. Identity is policy: a tricked agent has no key for actions outside its authority.

SHOGI's Post-Quantum Identity-Based Encryption uses identity as the public key, eliminating separate certificates and permission lookups attackers could tamper with. Its lattice-based design and signcryption, which signs and encrypts each request in one step, are designed to resist future quantum attacks. Requests cannot be forged or altered; approvals and audit records remain trustworthy. The Identity Authority (PKG) issues keys from secure hardware, splitting its master secret among several key authorities so no single insider can grant additional authority.

At run time, the authorization gate rates every request for risk. Every request requires a quorum of independent agents, and high-risk actions also require human voters; all voters verify evidence before voting, enforcing separation of duties cryptographically—not through a setting one person or agent can change. Only after all required checks and approvals does the gate issue single-use cryptographic approval for the exact action. Target systems reject actions without valid, matching approval; missing evidence, votes, or verification means denial. SHOGI complements existing access systems and records

every request, vote, approval, refusal, revocation, and key recovery, giving auditors evidence that controls held, including blocked attempts.

[Insert company name] moved clients from AI experiments to enterprise deployment, with generative and agentic AI exceeding 10% of Q4 2025 bookings. Acquiring SHOGI adds authority infrastructure so agents take consequential actions only with valid authorization. SHOGI fits in four places:

**Intelligent operations:** binding agents run by [Insert company name] and WNS to SHOGI identities and human quorums lets clients delegate higher-stakes processes, including payments and supplier management.

- **Financial services:** [Insert company name]'s fastest-growing sector in 2025, at 22% of revenue and up 9.2% at constant exchange rates. Banks and insurers face the strictest expectations for controls over automated actions.
- **Engineering and software delivery:** Operations & Engineering, 29% of [Insert company name]'s revenue, includes engineering and R&D services. SHOGI governs releases and configuration changes where agents build, test, and release client software, including for software vendors.
- **Cybersecurity and AI governance:** SHOGI becomes a pre-execution control that [Insert company name]'s security and governance teams can design, deploy, and run for clients, alongside existing monitoring.

*“SHOGI’s vision is simple. No agent should be able to take a consequential action unless it can prove it has the authority to do so, and that proof should hold up even against tomorrow's quantum computers.* Joining [Insert company name] turns that vision into something the world’s largest organizations can trust and adopt now. *[Insert company name]'s teams already design and run the processes where agents are being put to work, in more than 50 countries. Together we can make proven authority the default for agentic AI everywhere, not just in a few early deployments”* - Bill Montgomery, CEO, SHOGI Systems, Inc.

*“Our clients are moving agentic AI from pilots into processes that move money, ship software, and run operations, and they need proof those agents stay within their authority. The acquisition of SHOGI adds authority infrastructure that acts before an agent does, complementing the monitoring clients already have. Combined with [Insert company name]’s intelligent operations business and delivery teams, SHOGI can be deployed for clients across industries globally.”*
- CEO [Insert company name]’s Group CEO

The transaction is expected to close in Q1 2028, subject to customary conditions and regulatory approvals. For more information visit Buyer.com/pressrelease/SHOGI or SHOGIsystems.com

**FAQ**

**What are current customers saying about SHOGI?**

*"Our agents prepare thousands of payments a day. One scenario that kept us up at night was an agent being talked into changing a supplier's bank details and then marking its own callback as done. With SHOGI, an agent that proposes a change simply cannot verify it, and the payment system is guaranteed to not release funds to an account the quorum never approved. We moved from catching fraud after the money left to stopping it before it can."* — Ms. Money Maker, Head of Treasury Operations, Wells Fargo

*"We let agents build, test, and promote releases, which is great until one of them ships something nobody approved. SHOGI ties every production release to a single-use approval from our release quorum, with test evidence checked before humans or agents vote. A single agent can still do ninety percent of the work. It just cannot push to production on its own say-so. Since we implemented SHOGI we have been able to eliminate 100% of unauthorized releases"* — Mr. Software Release, Vice President of Release Engineering, ServiceNow

**Who is SHOGI for?** SHOGI is for organizations that need **proof** that an AI agent, device, or autonomous system is authorized to act. Use cases span enterprise AI, financial operations, software builds and releases, operational technology (OT), the Internet of Things (IoT), and physical AI, including robotics and autonomous machines. SHOGI is especially relevant where unauthorized actions could cause significant financial loss, disrupt critical operations, or endanger people.

**How is this different from monitoring and logging tools?** Monitoring and logging tools provide visibility into activity as it happens and after the fact. SHOGI determines whether a protected action is authorized before it can execute. The two are complementary: keep monitoring for visibility and use SHOGI to prevent high-consequence actions within its control boundary unless valid proof of authority is presented.

**Do I have to replace my existing access and identity systems?** No. Existing systems still control how an agent reaches a service. SHOGI controls whether a specific action is authorized. For protected actions, the target system, or a SHOGI checkpoint in front of it, only acts on a valid approval for that exact action. Agents no longer keep their own credentials for those actions.

**What happens if an approver or voting seat is unavailable?** The action waits. SHOGI fails closed by design, so time-sensitive workflows need approver coverage and uptime targets for every seat.

**Can a compromised agent still cause harm?** Only within the scope of its own identity, or in systems not wired to SHOGI. Anything outside its job, or above the risk threshold without a quorum, is refused and logged.

**Why post-quantum cryptography now?** Cryptographic systems deployed today must be **quantum-ready**. Approvals and audit records may need to remain trustworthy for years, so protection against

future quantum attacks must be designed in from the start. SHOGI's Post-Quantum Identity-Based Encryption uses lattice-based cryptography designed to resist those attacks.

**Do I need to buy security hardware?** No. SHOGI hosts the key infrastructure in its own secure hardware. Customers who want full control of a closed system can use their own hardware security modules (HSMs).

**Can customers implement SHOGI themselves**. For a financial institution, wiring the authorization gate means changing payment, release, and record systems so they refuse unapproved actions, work many customers may want help with. SHOGI has partnered with several system integrators serving multiple industries including banking and software-delivery practices, and security consultancies with STPA-Sec experience to support customers in their implementation if needed.

**What does SHOGI not protect?** Anything not wired through the gate. A direct database edit or bulk import outside the governed path stays open. SHOGI also verifies authority, not correctness: a properly authorized quorum can still approve a bad change.

**Is SHOGI competing with NVIDIA's** Open Agent Safety Platform? The two approaches are **complementary**. NVIDIA's platform focuses on runtime sandboxing, policy enforcement, and behavioral monitoring. SHOGI's differentiation is cryptographic proof of authority before execution: establishing whether an agent is authorized to perform a specific action. NVIDIA's platform reinforces the importance of securing autonomous agents.